# Ryanair DCF: model update after interview feedback

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## Summary

After my interview with Jakub Sooky on 15 October I changed the discount rate and the terminal year of the model. The base case moves from €30.97 to €31.41 per share (+€0.44), which is 19.9% above the current price of €26.19. Correcting the terminal year alone would have raised the value to about €41, because the model dropped from 9.1% to 1.5% growth in a single step. Fading growth to the terminal rate brings the value back to about €31.

## 1. What changed

| Change | New formula | Reason | Cells |
|---|---|---|---|
| **1. Blume adjusted beta** | Adjusted beta = 1/3 x 1 + 2/3 x raw beta = 1.0067 (raw 1.01). Feeds the cost of equity. | Same formula as Bloomberg Adjusted Beta. Effect is small. | WACC!F14, F10 |
| **2. Terminal FCF tied to growth** | Terminal FCF = NOPAT FY35 x (1+g) x (1 - g/WACC). Terminal value = terminal FCF / (WACC - g). | The old method grew FY35 FCF, whose capex and working capital inflow were sized for 9.1% growth. New investment now earns exactly its cost of capital (RONIC = WACC), so reinvestment equals g/WACC of NOPAT. | DCF!Y54:Y66, X73 |
| **3. Growth fades to terminal rate** | FY26 growth unchanged. From FY27: growth = previous year - (starting growth - TGR) / 9. | FY35 growth equals the terminal rate, so there is no jump. Applies to all scenarios: 7.0% to 1.0%, 9.1% to 1.5%, 11.0% to 2.0%. | DCF!P41:X43, D18 |

Base case growth path FY26 to FY35: 9.09%, 8.25%, 7.40%, 6.56%, 5.72%, 4.87%, 4.03%, 3.19%, 2.34%, 1.50%.

## 2. Effect on the base case

| | Before | After | Change |
|---|---|---|---|
| Cost of equity | 8.924% | 8.904% | -0.02% |
| WACC | 8.602% | 8.583% | -0.02% |
| Revenue growth FY35 | 9.09% | 1.50% | -7.59% |
| NOPAT FY35 | 5,160 | 3,612 | -1,548 |
| Terminal reinvestment (% of NOPAT) | 47.5% | 17.5% | -30.0% |
| Terminal-year FCF | 2,750 | 3,025 | +275 |
| Terminal value | 38,722 | 42,711 | +3,989 |
| PV of terminal value | 19,091 | 21,090 | +1,998 |
| Sum of PV of FCF FY26 to FY35 | 13,045 | 11,516 | -1,529 |
| Enterprise value | 32,136 | 32,606 | +470 |
| Equity value (EV + cash 2,400 - debt 1,500) | 33,036 | 33,506 | +470 |
| **Implied price per share (EUR)** | **30.97** | **31.41** | **+0.44** |
| Conservative scenario (EUR) | 20.64 | 23.67 | +3.03 |
| Optimistic scenario (EUR) | 45.36 | 40.04 | -5.32 |

The fade lowers the explicit-period cash flows, while the terminal value rises because reinvestment is cut. The scenarios move towards the base case because growth now converges in all of them.

## 3. Why the result is correct

Each change was added one at a time. The original model was reproduced first, and every step agrees with my independent replication within €0.08 (tolerance €0.30).

| Step (EUR per share) | Model | Reference | Difference | Status |
|---|---|---|---|---|
| Original model | 30.97 | 30.97 | 0.00 | OK |
| Change 1 only | 31.05 | 31.10 | -0.05 | OK |
| Change 2 only, growth flat | 41.21 | 41.20 | +0.01 | OK |
| Changes 1 and 2, growth flat | 41.32 | 41.40 | -0.08 | OK |
| **All three changes** | **31.41** | **31.40** | **+0.01** | **OK** |

- **Terminal logic.** At 1.5% growth and 8.58% WACC, reinvestment of g/WACC is 17.5% of NOPAT, against 47.5% before. With RONIC equal to WACC, terminal growth adds no value beyond the investment it needs.
- **Why change 2 needs change 3.** With growth flat at 9.1% until FY35, cutting terminal reinvestment alone overstates the value (about €41). The fade removes that mismatch.
- **Workbook integrity.** All cells are live formulas, the scenario table and the sensitivity table were rebuilt with explicit formulas (no data table), and the file recalculates with no errors. Setting the scenario switch gives €23.67 and €40.04 for the conservative and optimistic cases, matching the scenario table. The sensitivity base cell equals the DCF price. Across WACC 7.5% to 10.0% and TGR 0.5% to 2.5% the value ranges from €25.29 to €38.38.

## 4. Known weak points (unchanged)

- Tax at 10% against Pillar Two. A 15% rate would give about €28 per share on the original model and about €29 on v2.
- FY26 FCF is not prorated for the stub period.
- The "Total Debt 10,470" label in the Ratios balance sheet table is actually total liabilities.
- Leases are not added to debt separately.
- CapEx, D&A and working capital stay fixed percentages of sales through the fade, so FY35 reinvestment is still about 47% of NOPAT. Only the terminal year is normalised to g/WACC.